

Dow's theory in practice develops many implications. One of the best tested of them is that the two averages corroborate each other, and that there is never a primary movement, rarely a secondary movement, where they do not agree. Scrutiny of the average figures will show that there are periods where the fluctuations for a number of weeks are within a narrow range; as, for instance, where the industrials do not sell below seventy or above seventy-four, and the railroads above seventy-seven or below seventy-three. This is technically called "making a line," and experience shows that it indicates a period either of distribution or of accumulation. When the two averages rise above the high point of the line, the indication is strongly bullish. It may mean a secondary rally in a bear market; it meant, in 1921, the inauguration of a primary bull movement, extending into 1922.

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*The market represents everything everybody knows, hopes, believes, anticipates, with all that knowledge sifted down to . . . the bloodless verdict of the market place.*

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If, however, the two averages break through the lower level, it is obvious that the market for stocks has reached what meteorologists would call "saturation point." Precipitation follows—a secondary bear movement in a bull market, or the inception of a primary downward movement like that which developed in October, 1919. After the closing of the Stock Exchange, in 1914, the number of industrials chosen for comparison was raised from twelve to twenty and it seemed as if the averages would be upset, especially as spectacular movements in stocks such as General Electric made the fluctuations in the industrials far more impressive than those in the railroads. But students of the averages have carried the twenty chosen stocks back and have found that the fluctuations of the twenty in the previous years, almost from